APPENDIX II. Solomon Islands: Debt Sustainability Analysis Update[1]

This update of the Debt Sustainability Analysis (DSA) for the Solomon Islands incorporates the prospective disbursements under a Standby Credit Facility (SCF) arrangement with the IMF and the latest available debt data at end-2009. The results indicate that the impact of the SCF on debt sustainability should be minimal. The policies envisaged under a Fund-supported program would lead to a stronger fiscal position in the medium term, resulting in a generally lower level of public debt in the long run. The results of this DSA update are broadly in line with those of previous DSA, with the Solomon Islands facing a medium risk of debt distress.

I. Background

1. **At end-2009, total public debt stock was around 28 percent of GDP (around US$185 million), including credit guarantees and arrears**. The stock of debt differs slightly from those in the previous DSA mainly as a result of debt data provided by the Solomon Islands authorities to end-2009. Almost three-quarters of public debt is external debt, while domestic public debt is mostly in the form of restructured bonds owed to the banking sector, including the Central Bank of Solomon Islands (CBSI).

2. **Total public external debt amounted to US$133 million or 20 percent of GDP at end-2009**. Main creditors are the Asian Development Bank (AsDB) and the World Bank Group's International Development Association (IDA), with their shares of total public external debt around 40 percent and 30 percent, respectively. Other external creditors include the European Commission, European Investment Bank, International Fund for Agriculture Development, and Organization of the Petroleum Exporting Countries.

Solomon Islands: Public and Publicly Guaranteed (PPG) Debt 1/

		Est.			Proj.			
	2008	2009	2010	2011	2012	2013	2014	2015
External debt in US$ million	144	133	133	136	133	133	134	135
In percent of GDP	23.0	20.2	20.2	19.7	17.5	15.7	14.2	12.5
Domestic debt in SI$ million	457	425	372	316	272	229	187	149
In percent of GDP	9.1	8.0	6.7	5.2	3.9	2.9	2.0	1.4
Total debt in percent of GDP	32.1	28.3	26.8	24.9	21.4	18.5	16.3	13.9
Of which: Prospective Fund credit	0.0	0.0	1.4	2.7	2.5	2.2	1.8	1.3

Sources: The Solomon Islands authorities; and Fund staff estimates
1/ Includes prospective disbursements under Fund arrangement

[1] This document is an update to the joint World Bank/IMF DSA prepared during the 2009 Article IV Consultation with the Solomon Islands (see IMF Country Report No. 09/309).

II. Main Assumptions

3. **Under the prospective IMF-supported program, the policies agreed are expected to improve medium-term prospects for macroeconomic stability and debt sustainability.** The fiscal position is projected to be stronger than that assumed under the previous DSA, while other assumptions are expected to remain broadly the same.

- **Real GDP** growth is projected to rebound from minus 2¼ percent in 2009 to around 3½ percent in 2010 and 5¼ percent in 2011. Starting in 2012, annual growth is expected to increase substantially compared to the historical average, mainly because of planned production of gold starting in 2012 and nickel in 2015. Foreign direct investment (FDI), mainly to develop mines, is also expected to pick up substantially in the near to medium term. GDP growth during 2015–19 is slightly higher than in the previous DSA due to a moderate upward revision in projected volume of gold production. Inflation is expected to be 5–6 percent a year during 2010–14 assuming sound macroeconomic policies and stable international commodity prices.

- **The overall fiscal position** in the medium term is projected to improve compared with that assumed in the previous DSA. Under the Fund-supported program, the government expects to run an overall fiscal surplus in 2010 and 2011 of 2–2½ percent of GDP a year, reflecting its efforts to build up cash reserves and strengthen overall fiscal operations. To ensure the Solomon Islands stays on a sustainable fiscal path and taking into account the government's limited capacity to borrow at home or abroad, the government is expected to continue running fiscal surpluses in 2012-14 averaging about 1¾ percent of GDP a year. Government expenditure is expected to decline (as a share of GDP) over the long run, largely in line with a projected scaling back in project grants for technical and security support. In the event, the overall fiscal balance (including grants) would turn from a small surplus to a small deficit in the long run, financed mostly through external borrowing (discussed below).

- **The current account deficit** is expected to remain large over the near to medium term because of a rapid decline in logging exports and large imports related to mining development (financed mostly by FDI). Under the current baseline, gold exports will commence in 2012 and nickel exports in 2015, providing a major boost to export earnings. Over the long term, the deficit would gradually narrow and then stabilize at about 3½ percent to GDP. The stock of gross international reserves in the long run would be slightly higher than in the previous DSA mainly due to a moderate upward revision in projected mineral exports.

- **External borrowing**: In line with the assumptions made in the 2009 DSA and in the spirit of the Honiara Club Agreement (HCA)[2], the baseline scenario assumes the government maintains its policy of no new borrowing in the near term. Starting in 2012, modest concessional borrowing for development expenditure is expected to resume, responding to needs to improve basic infrastructure and given the expected falloff in external grants.

Solomon Islands: Social Economic Indicators, 2008-29

	Est.		Proj.			
	2008	2009	2010-14	2015-19	2020-29	2029
Growth and prices (percentage change)						
Real GDP	7.3	-2.2	6.7	7.2	5.5	5.1
Of which : Nontimber and nonmining	7.3	0.7	5.7	5.8	5.1	5.0
CPI (period average)	17.4	7.1	5.3	5.1	5.0	4.9
(End of period)	18.1	1.8	5.8	5.0	5.0	5.0
Per capita GDP (in US$)	1,274	1,268	1,430	2,175	3,551	4,397
Per capita GNI (in US$)	1,088	927	1,139	1,918	3,304	4,153
Central government operations (percent of GDP)						
Total revenue and grants	45.2	45.3	48.9	40.9	35.4	33.9
Recurrent revenue	27.3	27.1	29.9	32.0	32.6	32.5
Grants	17.9	18.2	19.0	8.9	2.8	1.4
Total expenditure	45.5	43.1	47.0	40.1	36.2	34.9
Overall balance	-0.3	2.2	2.0	0.8	-0.8	-1.0
Balance of payments						
Current account (balance (- deficit)	-106.1	-138.7	-216.6	-249.5	-81.5	-121.0
(Percent of GDP)	-16.4	-21.1	-27.1	-20.1	-3.2	-3.5
Gross official reserves (US$ millions, end of period)	89.5	146.0	224.4	675.4	656.4	409.3
(in months of next year's imports of GNFS)	3.5	4.2	4.9	10.8	7.0	3.2

Sources: Data provided by the authorities; and IMF staff estimates and projections.

III. External Debt Sustainability

Baseline scenario

4. **Under the baseline, all external debt** indicators remain **below the indicative debt burden thresholds.** In addition to the envisaged disbursements from the IMF in 2010–11, other external borrowing is assumed from 2012 (Table 1a).

5. **The impact of prospective borrowing from the IMF on the Solomon Islands' debt sustainability is expected to be minimal.** Total access under the SCF arrangement would amount to SDR 12.48 million (US$19.5 million), or 120 percent quota, to be disbursed in 2010-11. These planned disbursements would increase the debt-to-GDP ratio by about 2¾ percentage points by 2011 before declining gradually in the medium term. The impact of the SCF on debt service is also minimal, partly because disbursements under the SCF are interest free up to 2011. The debt service to the IMF at a maximum would be less than ½ percent of GDP during 2014–16 and decline thereafter. Outstanding credits from the IMF would be expected to be fully repaid by 2020.

[2] External borrowing has been restricted since 2005 under the terms of the Honiara Club Agreement (HCA), which was signed by the government and four major external creditors. Under the agreement, the Solomon Islands is expected to pursue grants and other overseas development assistance until it receives a "green light" rating from the World Bank's International Development Association.

Stress tests and alternative scenario

6. **Several thresholds are breached under the historical scenario and a few stress tests, similar to the results of the previous DSA.**

- Under the historical scenario, the present values (PVs) of the debt-to-GDP ratio and debt-to-exports ratio exceed the thresholds. Two bound tests indicate significant increases in debt burden indicators—the shock to net nondebt creating flows and the combined shock to these flows, growth, exports, and deflators (Figure 1 and Table 1b). The results are sensitive to the nondebt creating flows partly because past foreign investment was lower than the current level, implying that a stress test based on the historical level of investment would lead to large debt creation.
- Under most scenarios and stress tests, debt service-to-exports ratio and debt service-to-revenue ratio indicators would stay below the policy-dependent thresholds, supported by the relatively high concessionality of public external borrowing.

7. **An alternative scenario is also examined to demonstrate the potential volatility of the Solomon Islands' debt sustainability.** This scenario assumes that gold exports are delayed until 2014 and nickel exports do not materialize due to volatile commodity prices, land tenure issues, and financing constraints. Similar to the results of previous DSA, lower GDP growth, smaller export earnings, and larger fiscal deficits would be expected to materialize. However, under this scenario, external debt would not necessarily rise, as the government's capacity to borrow abroad would be constrained by its weaker underlying fiscal position. In the event, it might seek recourse to more domestic borrowing, potentially crowding out the private sector credit and further dampening growth prospects (Table 3a).

IV. Public Debt Sustainability

Baseline scenario

8. **Total public debt is expected to decline steadily over the medium and long term.** The stock of domestic public debt is expected to be lower than in the previous DSA, consistent with a stronger fiscal position expected under an IMF-supported program. However, some debt indicators would remain relatively high, such as the PV of the public sector debt-to-revenue ratio (excluding grants), which would stay above 40 percent through 2014 (Table 2a).

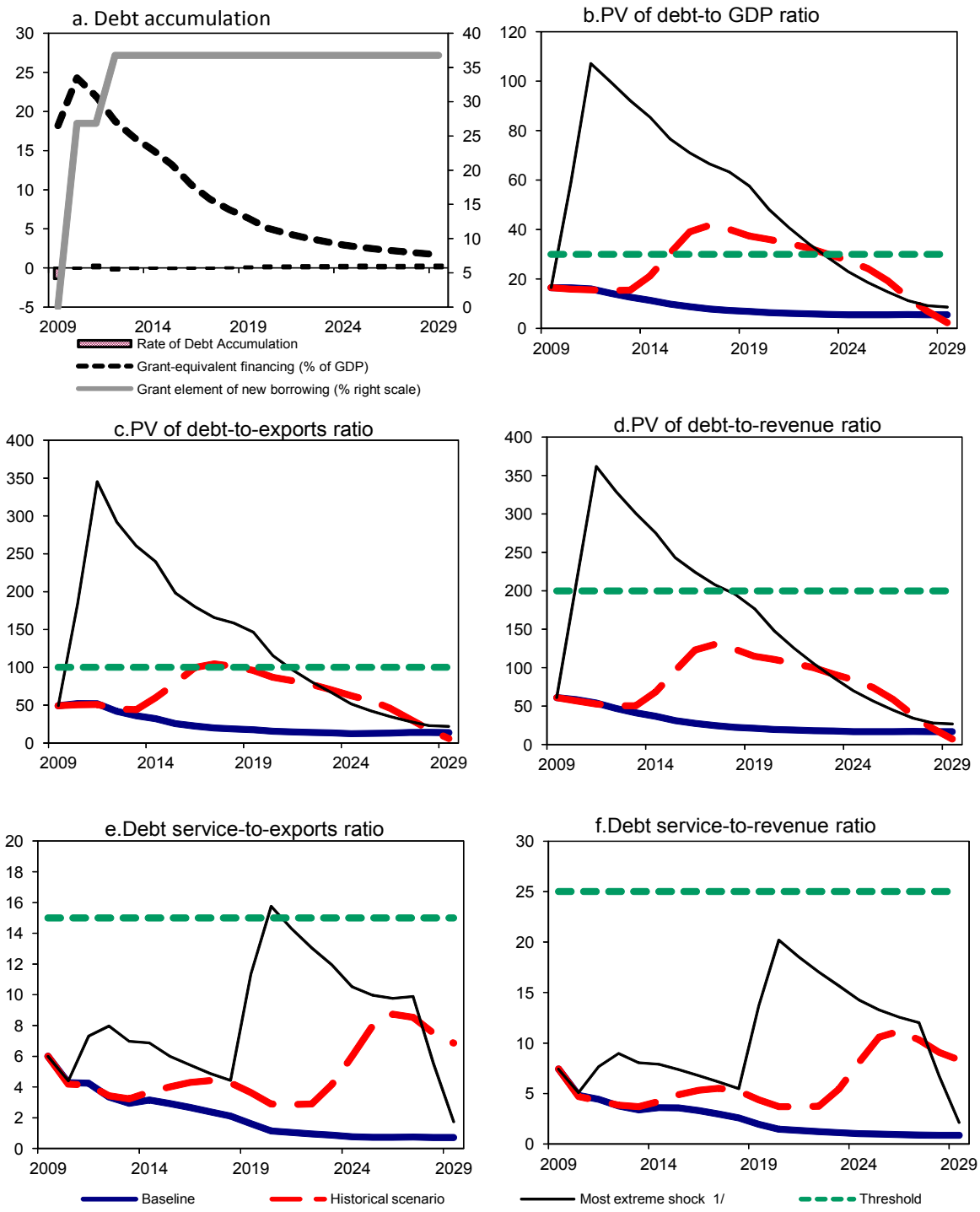
Stress tests and alternative scenario

9. **The results of the stress tests indicate that lower GDP growth would significantly increase debt indicators**, such as the PVs of the public sector debt-to-GDP ratio and debt-to-revenue ratio, particularly in the longer term (Figure 2, Table 2b). The first bound test (a temporary but significant decline in GDP growth) corresponds to the most extreme shock, with this finding again pointing to the sensitivity of this DSA to growth conditions. Compared to the baseline, the alternative scenario leads to a larger built-up of domestic debt in the long run (Table 3b).

V. CONCLUSION

10. **The results of this DSA update are broadly in line with those of the previous DSA, with the Solomon Islands continuing to face a medium risk of debt distress.** The impact on debt sustainability of IMF credits under the prospective SCF arrangement is expected to be minimal. No debt-distress thresholds are breached under the baseline and alternative scenarios. However, several thresholds are breached under the stress tests, indicating the vulnerability to shocks, in particular to net nondebt creating flows and GDP growth.

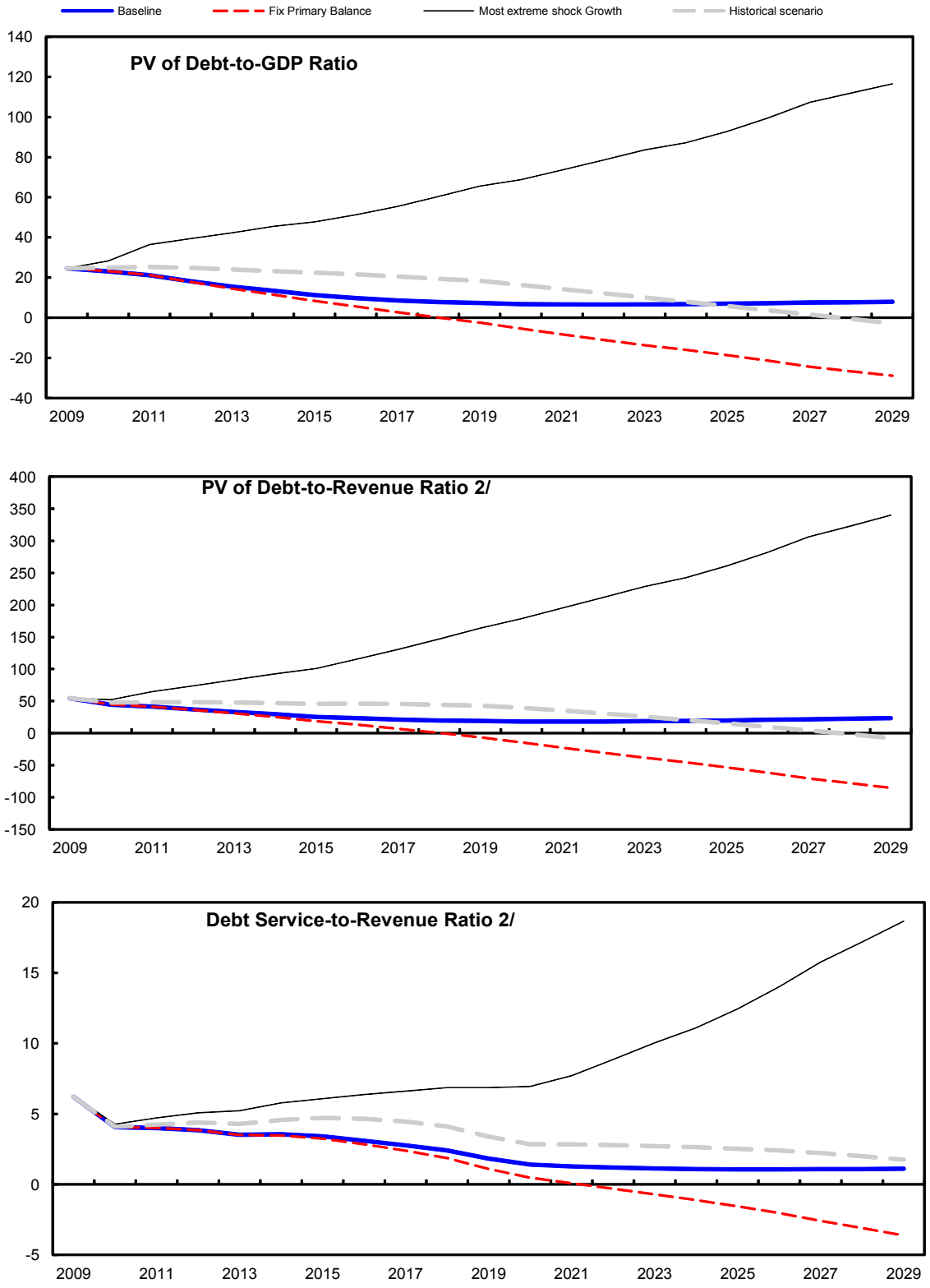
Figure 1. Solomon Islands: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2009-29 1/



Sources: IMF staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in 2019. In figure b. it corresponds to a Combination shock; in c. to a Combination shock; in d. to a Combination shock; in e. to a Combination shock and in figure f. to a Combination shock

Figure 2.Solomon Islands: Indicators of Public Debt Under Alternative Scenarios, 2009-29 1/



Sources: IMF staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in 2019.

2/ Revenues are defined inclusive of grants.

Table 1a. Solomon Islands: External Debt Sustainability Framework, Baseline Scenario, 2006-29 1/
(In percent of GDP, unless otherwise indicated)

	Actual			Historical Average /6	Standard Deviation /6	Projections									
	2006	2007	2008			2009	2010	2011	2012	2013	2014	2009-14 Average	2019	2029	2015-29 Average
External debt (nominal) 1/	**42.0**	**30.9**	**26.6**			**23.6**	**23.4**	**22.7**	**20.2**	**18.0**	**16.3**		**10.9**	**8.9**	
Of which: public and publicly guaranteed (PPG)	36.6	26.8	23.0			20.2	20.2	19.7	17.5	15.7	14.2		9.5	7.9	
Change in external debt	-2.8	-11.1	-4.3			-2.9	-0.2	-0.7	-2.5	-2.2	-1.7		-0.5	-0.1	
Identified net debt-creating flows	-8.4	-10.8	0.3			2.6	-1.4	-1.8	-3.4	-3.3	-10.5		1.3	2.0	
Noninterest current account deficit	**1.1**	**7.4**	**15.6**	**2.4**	**9.7**	**20.5**	**29.5**	**27.0**	**21.8**	**19.6**	**35.2**		**6.3**	**3.4**	8.6
Deficit in balance of goods and services	17.4	19.7	20.5			13.4	30.7	28.3	22.1	19.3	35.0		6.3	3.1	
Exports	35.5	36.7	37.3			33.5	31.3	30.8	33.9	35.1	35.4		39.0	39.4	
Imports	52.9	56.4	57.8			46.9	62.0	59.1	56.0	54.4	70.4		45.3	42.6	
Net current transfers (negative = inflow)	-19.0	-17.8	-18.6	-6.8	8.8	-19.2	-25.1	-22.9	-20.1	-18.2	-16.6		-8.9	-5.1	-7.9
Of which: official	-15.4	-15.7	-18.0			-16.7	-22.7	-20.4	-17.6	-15.7	-14.1		-6.3	-2.0	
Other current account flows (negative = net inflow)	2.7	5.4	13.8			26.3	24.0	21.7	19.8	18.4	16.9		8.9	5.4	
Net FDI (negative = inflow)	**-5.8**	**-9.7**	**-13.3**	**-2.6**	**5.6**	**-19.1**	**-30.7**	**-28.2**	**-23.7**	**-21.8**	**-44.9**		**-4.7**	**-1.1**	-10.0
Endogenous debt dynamics 2/	**-3.7**	**-8.5**	**-2.1**			**1.2**	**-0.2**	**-0.7**	**-1.5**	**-1.1**	**-0.8**		**-0.3**	**-0.3**	
Contribution from nominal interest rate	0.5	0.8	0.8			0.6	0.6	0.5	0.5	0.4	0.4		0.2	0.2	
Contribution from real GDP growth	-2.8	-3.5	-2.0			0.6	-0.8	-1.2	-1.9	-1.5	-1.2		-0.6	-0.4	
Contribution from price and exchange rate changes	-1.4	-5.8	-0.8			…	…	…	…	…	…		…	…	
Residual (3-4) 3/	**5.6**	**-0.3**	**-4.6**			**-5.5**	**1.2**	**1.1**	**0.9**	**1.1**	**8.8**		**-1.8**	**-2.1**	
Of which: exceptional financing	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
PV of external debt 4/	...	...	22.4			19.9	19.6	19.0	16.9	15.0	13.5		8.3	6.5	
In percent of exports	...	...	60.1			59.5	62.6	61.7	49.9	42.8	38.0		21.4	16.6	
PV of PPG external debt	**...**	**...**	**18.8**			**16.6**	**16.4**	**16.0**	**14.3**	**12.7**	**11.4**		**6.9**	**5.5**	
In percent of exports	**...**	**...**	**50.4**			**49.4**	**52.3**	**51.9**	**42.0**	**36.2**	**32.1**		**17.8**	**13.9**	
In percent of government revenues	**...**	**...**	**68.9**			**61.1**	**58.7**	**54.0**	**47.0**	**41.5**	**36.7**		**21.3**	**16.9**	
Debt service-to-exports ratio (in percent)	**3.5**	**6.7**	**6.8**			**6.9**	**5.0**	**5.0**	**4.0**	**3.4**	**3.6**		**1.9**	**0.9**	
PPG debt service-to-exports ratio (in percent)	**2.5**	**5.8**	**5.9**			**6.0**	**4.3**	**4.2**	**3.4**	**2.9**	**3.1**		**1.6**	**0.7**	
PPG debt service-to-revenue ratio (in percent)	**3.8**	**8.6**	**8.1**			**7.4**	**4.8**	**4.4**	**3.8**	**3.4**	**3.6**		**1.9**	**0.9**	
Total gross financing need (billions of U.S. dollars)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	-0.1		0.0	0.1	
Noninterest current account deficit that stabilizes debt ratio	3.9	18.5	20.0			23.4	29.7	27.8	24.3	21.8	37.0		6.8	3.5	
Key macroeconomic assumptions															
Real GDP growth (in percent)	6.9	10.7	7.3	1.6	7.9	-2.2	3.4	5.2	9.4	8.2	7.2	5.2	5.3	5.1	6.1
GDP deflator in U.S. dollar terms (change in percent)	3.2	15.9	2.7	3.4	8.4	4.0	-0.8	-0.8	0.7	3.0	3.5	1.6	2.6	2.5	2.7
Effective interest rate (percent) 5/	1.4	2.4	2.8	2.1	1.2	2.4	2.4	2.3	2.2	2.2	2.2	2.3	2.2	2.0	2.1
Growth of exports of G&S (U.S. dollar terms, in percent)	16.9	32.5	12.0	5.9	25.4	-8.5	-4.2	2.6	21.5	15.3	12.0	6.4	6.3	7.5	9.8
Growth of imports of G&S (U.S. dollar terms, in percent)	39.4	36.8	12.9	10.4	30.2	-17.3	35.5	-0.6	4.6	8.2	43.7	12.3	5.0	4.9	5.6
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	0.0	26.9	26.8	36.8	36.8	36.8	27.3	36.8	36.8	36.8
Government revenues (excluding grants, in percent of GDP)	23.6	24.8	27.3			27.1	27.9	29.6	30.3	30.6	31.0		32.5	32.5	32.4
Aid flows (in billions of U.S. dollars) 7/	0.1	0.1	0.1			0.1	0.2	0.2	0.1	0.1	0.1		0.1	0.0	
Of which: Grants	0.1	0.1	0.1			0.1	0.2	0.2	0.1	0.1	0.1		0.1	0.0	
Of which: Concessional loans	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			18.2	24.3	22.0	18.8	16.7	15.1		6.4	1.7	5.1
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			100.0	95.9	95.6	98.3	97.4	96.0		92.6	80.4	88.9
Memorandum items:															
Nominal GDP (billions of U.S. dollars)	0.5	0.6	0.6			0.7	0.7	0.7	0.8	0.9	1.0		1.6	3.4	
Nominal dollar GDP growth	10.3	28.3	10.2			1.8	2.5	4.4	10.2	11.5	11.0	**6.9**	8.0	7.7	8.9
PV of PPG external debt (in billions of U.S. dollars)	…	…	0.1			0.1	0.1	0.1	0.1	0.1	0.1		0.1	0.2	
(PVt-PVt-1)/GDPt-1 (in percent)	…	…	…			-1.4	-0.1	0.4	-0.3	-0.1	0.0	-0.3	0.2	0.4	0.2

Sources: Solomon Island authorities; and IMF staff estimates and projections.

1/ Includes both public and private sector external debt.
2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.
3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.
4/ Assumes that PV of private sector debt is equivalent to its face value.
5/ Current-year interest payments divided by previous period debt stock.
6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.
7/ Defined as grants, concessional loans, and debt relief.
8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

Table 1b. Solomon Islands: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2009-29
(In percent)

		Projections						
	2009	2010	2011	2012	2013	2014	**2019**	2029
PV of debt-to GDP ratio								
Baseline	17	16	16	14	13	11	**7**	5
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2009-29 1/	17	16	16	15	16	21	**37**	2
A2. New public sector loans on less favorable terms in 2009-29 2/	17	16	15	14	13	12	**8**	8
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2010-11	17	18	19	17	15	14	**8**	7
B2. Export value growth at historical average minus one standard deviation in 2010-11 3/	17	20	27	25	22	20	**13**	6
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2010-11	17	17	17	15	14	12	**7**	6
B4. Net nondebt creating flows at historical average minus one standard deviation in 2010-11 4/	17	61	101	94	87	81	**54**	8
B5. Combination of B1-B4 using one-half standard deviation shocks	17	59	107	100	92	85	**58**	9
B6. One-time 30 percent nominal depreciation relative to the baseline in 2010 5/	17	23	23	20	18	16	**10**	8
PV of debt-to-exports ratio								
Baseline	49	52	52	42	36	32	**18**	14
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2009-29 1/	49	51	51	45	44	60	**96**	6
A2. New public sector loans on less favorable terms in 2009-29 2/	49	50	50	41	36	33	**22**	21
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2010-11	49	51	51	41	36	32	**17**	14
B2. Export value growth at historical average minus one standard deviation in 2010-11 3/	49	75	133	110	97	87	**52**	22
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2010-11	49	51	51	41	36	32	**17**	14
B4. Net nondebt creating flows at historical average minus one standard deviation in 2010-11 4/	49	193	328	277	247	227	**139**	20
B5. Combination of B1-B4 using one-half standard deviation shocks	49	184	345	292	260	239	**147**	22
B6. One-time 30 percent nominal depreciation relative to the baseline in 2010 5/	49	51	51	41	36	32	**17**	14
PV of debt-to-revenue ratio								
Baseline	61	59	54	47	41	37	**21**	17
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2009-29 1/	61	57	53	51	51	68	**115**	7
A2. New public sector loans on less favorable terms in 2009-29 2/	61	56	52	46	41	37	**26**	25
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2010-11	61	63	66	57	50	45	**26**	21
B2. Export value growth at historical average minus one standard deviation in 2010-11 3/	61	71	91	81	73	66	**41**	18
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2010-11	61	60	58	50	44	39	**23**	18
B4. Net nondebt creating flows at historical average minus one standard deviation in 2010-11 4/	61	217	341	310	283	260	**167**	24
B5. Combination of B1-B4 using one-half standard deviation shocks	61	212	362	329	301	275	**177**	27
B6. One-time 30 percent nominal depreciation relative to the baseline in 2010 5/	61	82	76	66	58	52	**30**	24
Debt service-to-exports ratio								
Baseline	6	4	4	3	3	3	**2**	1
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2009-29 1/	6	4	4	3	3	4	**4**	7
A2. New public sector loans on less favorable terms in 2009-29 2/	6	4	4	3	3	3	**2**	2
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2010-11	6	4	4	3	3	3	**2**	1
B2. Export value growth at historical average minus one standard deviation in 2010-11 3/	6	5	7	6	5	5	**4**	1
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2010-11	6	4	4	3	3	3	**2**	1
B4. Net nondebt creating flows at historical average minus one standard deviation in 2010-11 4/	6	4	7	7	6	6	**11**	2
B5. Combination of B1-B4 using one-half standard deviation shocks	6	4	7	8	7	7	**11**	2
B6. One-time 30 percent nominal depreciation relative to the baseline in 2010 5/	6	4	4	3	3	3	**2**	1
Debt service-to-revenue ratio								
Baseline	7	5	4	4	3	4	**2**	1
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2009-29 1/	7	5	4	4	4	4	**4**	8
A2. New public sector loans on less favorable terms in 2009-29 2/	7	5	5	4	4	3	**2**	2
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2010-11	7	5	5	5	4	4	**2**	1
B2. Export value growth at historical average minus one standard deviation in 2010-11 3/	7	5	5	4	4	4	**3**	1
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2010-11	7	5	5	4	4	4	**2**	1
B4. Net nondebt creating flows at historical average minus one standard deviation in 2010-11 4/	7	5	7	8	7	7	**13**	2
B5. Combination of B1-B4 using one-half standard deviation shocks	7	5	8	9	8	8	**14**	2
B6. One-time 30 percent nominal depreciation relative to the baseline in 2010 5/	7	7	6	5	5	5	**3**	1
Memorandum item:								
Grant element assumed on residual financing (i.e., financing required above baseline) 6/	27	27	27	27	27	27	**27**	27

Sources: Solomon Island authorities; and IMF staff estimates and projections.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), noninterest current account in percent of GDP, and nondebt creating flows.
2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline, while grace and maturity periods are the same as in the baseline.
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicitly assuming an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.

Table 2a. Solomon Islands: Public Sector Debt Sustainability Framework, Baseline Scenario, 2006-29
(In percent of GDP, unless otherwise indicated)

	Actual					Estimate	Projections								
	2006	2007	2008	Average 5/	Standard Deviation 5/	2009	2010	2011	2012	2013	2014	2009-14 Average	2019	2029	2015-29 Average
Public sector debt 1/	50.4	36.8	32.1			28.3	26.8	24.9	21.4	18.5	16.3		9.9	10.3	
Of which: foreign-currency denominated	36.6	26.8	23.0			20.2	20.2	19.7	17.5	15.7	14.2		9.5	7.9	
Change in public sector debt	-5.6	-13.6	-4.7			-3.8	-1.4	-2.0	-3.4	-2.9	-2.3		-0.5	0.2	
Identified debt-creating flows	-6.1	-13.2	-2.5			-4.6	-3.3	-3.7	-4.4	-4.1	-3.5		-1.1	0.2	
Primary deficit	0.7	-2.1	-0.5	-1.5	4.0	-2.8	-3.0	-2.7	-2.4	-2.1	-1.9	-2.5	-0.5	0.8	0.1
Revenue and grants	41.5	42.1	45.2			45.3	51.8	51.2	48.9	47.0	45.7		38.6	33.9	
Of which: grants	17.9	17.3	17.9			18.2	23.9	21.6	18.6	16.4	14.7		6.1	1.4	
Primary (noninterest) expenditure	42.2	39.9	44.6			42.5	48.9	48.5	46.5	44.9	43.9		38.1	34.7	
Automatic debt dynamics	-4.9	-10.3	-1.9			-0.9	0.0	-1.0	-2.0	-2.0	-1.6		-0.6	-0.6	
Contribution from interest rate/growth differential	-4.8	-6.6	-2.6			0.3	-0.8	-1.3	-2.2	-1.8	-1.4		-0.6	-0.5	
Of which: contribution from average real interest rate	-1.1	-1.8	-0.1			-0.4	0.1	0.0	-0.1	-0.2	-0.1		0.0	0.0	
Of which: contribution from real GDP growth	-3.6	-4.9	-2.5			0.7	-0.9	-1.3	-2.1	-1.6	-1.2		-0.5	-0.5	
Contribution from real exchange rate depreciation	-0.2	-3.7	0.6			-1.3	0.9	0.3	0.2	-0.2	-0.2		...	...	
Other identified debt-creating flows	-1.9	-0.8	0.0			-0.8	-0.4	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	-0.2	0.0	0.0			-0.8	-0.4	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	-1.7	-0.8	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g., bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	0.5	-0.4	-2.3			0.8	1.9	1.7	1.0	1.1	1.2		0.6	0.0	
Other Sustainability Indicators															
PV of public sector debt	13.8	10.1	27.9			24.6	23.1	21.2	18.2	15.6	13.4		7.3	8.0	
Of which: foreign-currency denominated	0.0	0.0	18.8			16.6	16.4	16.0	14.3	12.7	11.4		6.9	5.5	
Of which: external	...	...	18.8			16.6	16.4	16.0	14.3	12.7	11.4		6.9	5.5	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	4.5	1.9	3.3			0.4	-0.4	-0.2	-0.1	-0.1	0.1		0.4	1.2	
PV of public sector debt-to-revenue and grants ratio (in percent)	33.3	24.0	61.9			54.3	44.5	41.4	37.2	33.1	29.4		19.0	23.5	
PV of public sector debt-to-revenue ratio (in percent)	58.6	40.6	102.4			90.8	82.5	71.5	60.0	50.8	43.3		22.6	24.5	
Of which: external 3/	…	…	68.9			61.1	58.7	54.0	47.0	41.5	36.7		21.3	16.9	
Debt service-to-revenue and grants ratio (in percent) 4/	7.0	7.9	7.3			6.2	4.1	4.0	3.9	3.5	3.6		1.8	1.1	
Debt service-to-revenue ratio (in percent) 4/	12.3	13.5	12.1			10.4	7.5	6.9	6.2	5.4	5.2		2.2	1.2	
Primary deficit that stabilizes the debt-to-GDP ratio	6.3	11.4	4.2			1.0	-1.5	-0.7	1.0	0.8	0.4		0.1	0.6	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	6.9	10.7	7.3	1.6	7.9	-2.2	3.4	5.2	9.4	8.2	7.2	5.2	5.3	5.1	6.1
Average nominal interest rate on forex debt (in percent)	0.8	2.1	2.5	1.0	0.9	2.0	2.0	1.9	1.8	1.8	1.8	1.9	1.8	1.5	1.7
Average real interest rate on domestic debt (in percent)	-1.7	-12.0	-1.5	-3.8	4.3	-5.4	0.2	-1.1	-1.7	-3.9	-4.3	-2.7	-3.6	-0.5	-2.3
Real exchange rate depreciation (in percent, + indicates depreciation)	-0.4	-11.2	2.5	0.9	9.2	-5.3	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	4.3	16.6	4.0	8.2	4.7	8.1	2.1	3.6	4.1	6.5	6.8	5.2	5.7	5.4	5.7
Growth of real primary spending (deflated by GDP deflator, in percent)	-0.1	0.0	0.2	0.2	0.4	-0.1	0.2	0.0	0.0	0.0	0.0	0.1	0.0	0.0	0.0
Grant element of new external borrowing (in percent)	...	...	...	…	…	0.0	26.9	26.8	36.8	36.8	36.8	27.3	36.8	36.8	...

Sources: Solomon Island authorities; and IMF staff estimates and projections.

1/ The public sector covers only the central government.

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

Table 2b. Solomon Islands: Sensitivity Analysis for Key Indicators of Public Debt 2009-29
(In percent)

	Projections							
	2009	2010	2011	2012	2013	2014	2019	2029
PV of Debt-to-GDP Ratio								
Baseline	25	23	21	18	16	13	7	8
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	25	25	25	25	24	23	18	-3
A2. Primary balance is unchanged from 2009	25	23	21	18	15	11	-2	-29
A3. Permanently lower GDP growth 1/	25	24	23	22	21	22	36	122
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2010-11	25	28	36	39	42	46	66	117
B2. Primary balance is at historical average minus one standard deviations in 2010-11	25	29	32	28	25	22	14	12
B3. Combination of B1-B2 using one half standard deviation shocks	25	28	32	32	33	34	43	73
B4. One-time 30 percent real depreciation in 2010	25	31	29	25	22	20	12	11
B5. 10 percent of GDP increase in other debt-creating flows in 2010	25	33	31	28	24	22	13	12
PV of Debt-to-Revenue Ratio 2/								
Baseline	54	44	41	37	33	29	19	23
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	54	48	48	48	48	47	43	-8
A2. Primary balance is unchanged from 2009	54	45	42	36	31	25	-6	-85
A3. Permanently lower GDP growth 1/	54	46	45	44	45	46	90	355
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2010-11	54	52	65	74	83	93	164	340
B2. Primary balance is at historical average minus one standard deviations in 2010-11	54	55	62	58	53	49	36	37
B3. Combination of B1-B2 using one half standard deviation shocks	54	53	58	62	66	70	108	212
B4. One-time 30 percent real depreciation in 2010	54	60	56	52	47	43	30	34
B5. 10 percent of GDP increase in other debt-creating flows in 2010	54	64	61	56	52	47	35	36
Debt Service-to-Revenue Ratio 2/								
Baseline	6	4	4	4	4	4	2	1
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	6	4	4	4	4	5	3	2
A2. Primary balance is unchanged from 2009	6	4	4	4	3	3	1	-4
A3. Permanently lower GDP growth 1/	6	4	4	4	4	4	4	16
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2010-11	6	4	5	5	5	6	7	19
B2. Primary balance is at historical average minus one standard deviations in 2010-11	6	4	4	5	4	4	2	2
B3. Combination of B1-B2 using one half standard deviation shocks	6	4	5	5	5	5	5	12
B4. One-time 30 percent real depreciation in 2010	6	5	5	5	5	5	3	2
B5. 10 percent of GDP increase in other debt-creating flows in 2010	6	4	5	5	4	4	2	2

Sources: Solomon Island authorities; and IMF staff estimates and projections.

1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of the length of the projection period.

2/ Revenues are defined inclusive of grants.

Table 3a. Solomon Islands: External Debt Sustainability Framework, Alternative Scenario, 2006-29 1/
(In percent of GDP, unless otherwise indicated)

	Actual			Historical 6/ Average	Standard 6/ Deviation	Projections									
	2006	2007	2008			2009	2010	2011	2012	2013	2014	2009-14 Average	2019	2029	2015-29 Average
External debt (nominal) 1/	**42.0**	**30.9**	**26.6**			**23.6**	**23.4**	**22.7**	**21.0**	**19.1**	**16.3**		**10.9**	**9.7**	
Of which: public and publicly guaranteed (PPG)	36.6	26.8	23.0			20.2	20.2	19.7	18.2	16.6	14.2		9.5	8.4	
Change in external debt	-2.8	-11.1	-4.3			-2.9	-0.2	-0.7	-1.7	-1.9	-2.8		-0.6	0.1	
Identified net debt-creating flows	-8.4	-10.8	0.3			2.6	-1.4	-1.8	2.6	5.9	-7.1		0.3	0.6	
Noninterest current account deficit	**1.1**	**7.4**	**15.6**	**2.4**	**9.7**	**20.5**	**29.5**	**27.0**	**27.9**	**29.4**	**40.8**		**7.6**	**2.5**	12.0
Deficit in balance of goods and services	17.4	19.7	20.5			13.4	30.7	28.3	29.7	32.6	43.2		8.1	6.5	
Exports	35.5	36.7	37.3			33.5	31.3	30.8	29.2	26.6	30.4		33.9	21.3	
Imports	52.9	56.4	57.8			46.9	62.0	59.1	58.9	59.2	73.6		42.0	27.8	
Net current transfers (negative = inflow)	-19.0	-17.8	-18.6	-6.8	8.8	-19.2	-25.1	-22.9	-21.0	-19.5	-17.3		-9.2	-5.5	-8.5
Of which: official	-15.4	-15.7	-18.0			-16.7	-22.7	-20.4	-18.5	-17.1	-14.8		-6.6	-2.4	
Other current account flows (negative = net inflow)	2.7	5.4	13.8			26.3	24.0	21.7	19.2	16.3	14.9		8.7	1.6	
Net FDI (negative = inflow)	**-5.8**	**-9.7**	**-13.3**	**-2.6**	**5.6**	**-19.1**	**-30.7**	**-28.2**	**-24.8**	**-23.1**	**-46.4**		**-6.7**	**-2.0**	-12.4
Endogenous debt dynamics 2/	**-3.7**	**-8.5**	**-2.1**			**1.2**	**-0.2**	**-0.7**	**-0.4**	**-0.4**	**-1.4**		**-0.5**	**0.0**	
Contribution from nominal interest rate	0.5	0.8	0.8			0.6	0.6	0.5	0.5	0.4	0.4		0.2	0.2	
Contribution from real GDP growth	-2.8	-3.5	-2.0			0.6	-0.8	-1.2	-0.9	-0.8	-1.8		-0.8	-0.2	
Contribution from price and exchange rate changes	-1.4	-5.8	-0.8			…	…	…	…	…	…		…	…	
Residual (3-4) 3/	**5.6**	**-0.3**	**-4.6**			**-5.5**	**1.2**	**1.1**	**-4.3**	**-7.8**	**4.3**		**-0.9**	**-0.5**	
Of which: exceptional financing	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
PV of external debt 4/	...	...	22.4			19.9	19.6	19.0	17.6	16.0	13.6		8.4	7.1	
In percent of exports	...	...	60.1			59.5	62.5	61.6	60.3	60.2	44.7		24.7	33.5	
PV of PPG external debt	**...**	**...**	**18.8**			**16.6**	**16.4**	**16.0**	**14.8**	**13.5**	**11.4**		**6.9**	**5.8**	
In percent of exports	**...**	**...**	**50.4**			**49.4**	**52.2**	**51.8**	**50.7**	**50.6**	**37.6**		**20.3**	**27.3**	
In percent of government revenues	**...**	**...**	**68.9**			**61.1**	**58.6**	**53.9**	**48.7**	**43.9**	**36.9**		**21.6**	**19.7**	
Debt service-to-exports ratio (in percent)	**3.5**	**6.7**	**6.8**			**6.9**	**5.0**	**5.0**	**4.8**	**4.9**	**4.4**		**2.3**	**2.1**	
PPG debt service-to-exports ratio (in percent)	**2.5**	**5.8**	**5.9**			**6.0**	**4.3**	**4.2**	**4.1**	**4.2**	**3.8**		**1.9**	**1.5**	
PPG debt service-to-revenue ratio (in percent)	**3.8**	**8.6**	**8.1**			**7.4**	**4.8**	**4.4**	**3.9**	**3.6**	**3.8**		**2.1**	**1.1**	
Total gross financing need (Billions of U.S. dollars)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.1	0.0		0.0	0.0	
Noninterest current account deficit that stabilizes debt ratio	3.9	18.5	20.0			23.4	29.7	27.8	29.6	31.3	43.6		8.2	2.5	
Key macroeconomic assumptions															
Real GDP growth (in percent)	6.9	10.7	7.3	1.6	7.9	-2.2	3.4	5.2	4.1	4.1	10.9	4.3	7.4	2.0	4.9
GDP deflator in U.S. dollar terms (change in percent)	3.2	15.9	2.7	3.4	8.4	4.0	-0.8	-0.8	0.8	3.3	3.7	1.7	2.6	2.4	2.7
Effective interest rate (percent) 5/	1.4	2.4	2.8	2.1	1.2	2.4	2.4	2.3	2.2	2.2	2.2	2.3	2.2	2.0	2.1
Growth of exports of G&S (U.S. dollar terms, in percent)	16.9	32.5	12.0	5.9	25.4	-8.5	-4.2	2.6	-0.6	-1.8	31.4	3.1	13.5	-6.9	5.4
Growth of imports of G&S (U.S. dollar terms, in percent)	39.4	36.8	12.9	10.4	30.2	-17.3	35.5	-0.6	4.6	8.2	43.0	12.2	0.9	3.0	1.2
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	0.0	25.1	25.1	36.8	36.8	36.8	26.8	36.8	36.8	36.8
Government revenues (excluding grants, in percent of GDP)	23.6	24.8	27.3			27.1	27.9	29.6	30.4	30.7	31.0		31.8	29.6	30.9
Aid flows (in Billions of U.S. dollars) 7/	0.1	0.1	0.1			0.1	0.2	0.2	0.1	0.1	0.1		0.1	0.0	
Of which: Grants	0.1	0.1	0.1			0.1	0.2	0.2	0.1	0.1	0.1		0.1	0.0	
Of which: concessional loans	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			18.2	24.3	21.9	19.6	18.0	15.7		6.7	2.0	5.7
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			100.0	95.8	95.5	99.0	98.3	97.3		92.2	83.2	90.1
Memorandum items:															
Nominal GDP (Billions of U.S. dollars)	0.5	0.6	0.6			0.7	0.7	0.7	0.7	0.8	0.9		1.5	2.8	
Nominal dollar GDP growth	10.3	28.3	10.2			1.8	2.5	4.4	4.9	7.6	15.1	**6.0**	10.2	4.4	7.7
PV of PPG external debt (in Billions of US dollars)	…	…	0.1			0.1	0.1	0.1	0.1	0.1	0.1		0.1	0.2	
(PVt-PVt-1)/GDPt-1 (in percent)	…	…	…			-1.4	-0.1	0.3	-0.4	-0.3	-0.3	-0.4	0.2	0.3	0.2

Sources: Solomon Authorities; and IMF staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Assumes that PV of private sector debt is equivalent to its face value.

5/ Current-year interest payments divided by previous period debt stock.

6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

7/ Defined as grants, concessional loans, and debt relief.

8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

Table 3b.Solomon Islands: Public Sector Debt Sustainability Framework, Alternative Scenario, 2006-29
(In percent of GDP, unless otherwise indicated)

	Actual					Estimate	Projections								
	2006	2007	2008	Average 5/	Standard Deviation 5/	2009	2010	2011	2012	2013	2014	2009-14 Average	2019	2029	2015-29 Average
Public sector debt 1/	50.4	36.8	32.1			28.3	26.8	24.9	22.3	19.7	16.3		9.9	12.0	
Of which: foreign-currency denominated	36.6	26.8	23.0			20.2	20.2	19.7	18.2	16.6	14.2		9.5	8.4	
Change in public sector debt	-5.6	-13.6	-4.7			-3.8	-1.4	-2.0	-2.6	-2.6	-3.4		-0.7	0.3	
Identified debt-creating flows	-6.1	-13.2	-2.5			-4.6	-3.3	-3.7	-3.6	-3.9	-4.5		-0.9	0.3	
Primary deficit	0.7	-2.1	-0.5	-1.5	4.0	-2.8	-3.0	-2.7	-2.8	-2.5	-2.2	-2.7	-0.1	0.6	0.2
Revenue and grants	41.5	42.1	45.2			45.3	51.8	51.2	49.9	48.6	46.4		38.2	31.4	
Of which: grants	17.9	17.3	17.9			18.2	23.9	21.6	19.5	17.9	15.4		6.4	1.8	
Primary (noninterest) expenditure	42.2	39.9	44.6			42.5	48.9	48.5	47.2	46.0	44.2		38.1	32.0	
Automatic debt dynamics	-4.9	-10.3	-1.9			-0.9	0.0	-1.0	-0.9	-1.3	-2.4		-0.8	-0.3	
Contribution from interest rate/growth differential	-4.8	-6.6	-2.6			0.3	-0.8	-1.3	-1.1	-1.1	-2.1		-0.8	-0.3	
Of which: contribution from average real interest rate	-1.1	-1.8	-0.1			-0.4	0.1	0.0	-0.1	-0.2	-0.2		0.0	-0.1	
Of which: contribution from real GDP growth	-3.6	-4.9	-2.5			0.7	-0.9	-1.3	-1.0	-0.9	-1.9		-0.7	-0.2	
Contribution from real exchange rate depreciation	-0.2	-3.7	0.6			-1.3	0.9	0.3	0.2	-0.2	-0.3		...	...	
Other identified debt-creating flows	-1.9	-0.8	0.0			-0.8	-0.4	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	-0.2	0.0	0.0			-0.8	-0.4	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	-1.7	-0.8	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	0.5	-0.4	-2.3			0.8	1.9	1.7	1.1	1.2	1.2		0.3	0.0	
Other Sustainability Indicators															
PV of public sector debt	13.8	10.1	27.9			24.6	23.0	21.1	18.9	16.6	13.6		7.3	9.4	
Of which: foreign-currency denominated	0.0	0.0	18.8			16.6	16.4	16.0	14.8	13.5	11.4		6.9	5.8	
Of which: external	...	...	18.8			16.6	16.4	16.0	14.8	13.5	11.4		6.9	5.8	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	4.5	1.9	3.3			0.4	-0.4	-0.2	-0.3	-0.3	-0.1		0.8	1.1	
PV of public sector debt-to-revenue and grants ratio (in percent)	33.3	24.0	61.9			54.3	44.4	41.3	37.9	34.2	29.3		19.2	29.9	
PV of public sector debt-to-revenue ratio (in percent)	58.6	40.6	102.4			90.8	82.5	71.4	62.2	54.0	43.8		23.0	31.7	
Of which: external 3/	…	…	68.9			61.1	58.6	53.9	48.7	43.9	36.9		21.6	19.7	
Debt service-to-revenue and grants ratio (in percent) 4/	7.0	7.9	7.3			6.2	4.1	4.0	4.0	3.7	3.7		1.9	1.5	
Debt service-to-revenue ratio (in percent) 4/	12.3	13.5	12.1			10.4	7.5	6.9	6.5	5.9	5.5		2.3	1.6	
Primary deficit that stabilizes the debt-to-GDP ratio	6.3	11.4	4.2			1.0	-1.5	-0.7	-0.2	0.1	1.2		0.5	0.3	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	6.9	10.7	7.3	1.6	7.9	-2.2	3.4	5.2	4.1	4.1	10.9	4.3	7.4	2.0	4.9
Average nominal interest rate on forex debt (in percent)	0.8	2.1	2.5	1.0	0.9	2.0	2.0	1.9	1.8	1.8	1.8	1.9	1.8	1.5	1.7
Average real interest rate on domestic debt (in percent)	-1.7	-12.0	-1.5	-3.8	4.3	-5.4	0.2	-1.1	-1.8	-4.2	-4.5	-2.8	-3.6	-0.5	-2.2
Real exchange rate depreciation (in percent, + indicates depreciation)	-0.4	-11.2	2.5	0.9	9.2	-5.3	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	4.3	16.6	4.0	8.2	4.7	8.1	2.1	3.6	4.2	6.8	7.0	5.3	5.7	5.4	5.8
Growth of real primary spending (deflated by GDP deflator, in percent)	-0.1	0.0	0.2	0.2	0.4	-0.1	0.2	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0
Grant element of new external borrowing (in percent)	...	...	...	…	…	0.0	25.1	25.1	36.8	36.8	36.8	26.8	36.8	36.8	...

Sources: Solomon Authorities; and IMF staff estimates and projections.

1/ The public sector covers only the central government.
2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.
3/ Revenues excluding grants.
4/ Debt service is defined as the sum of interest and amortization of medium- and long-term debt.
5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.